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Problem: Young working professionals and students who are new to managing their own finances find themselves **stuck with bad spending habits** and unable to break the initial **barrier to investing and saving**

Solution: Proposed changes in **Paytm** app to save up small amount of money of microinvestment anytime a guilty purchase is made (named as self-tax). Introduce personal finance management features to ease out the process of money management

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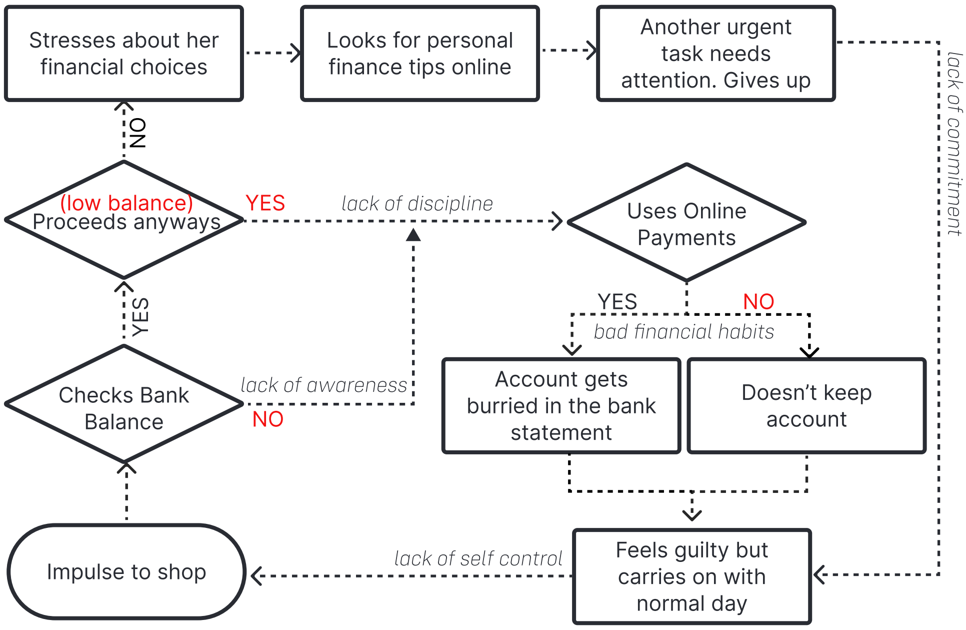
Meet Gunjan

- Age - 25 F | Whitecollar Job
- Uses online payments ever since **UPI** became popular
- Keeps **busy** with work and MBA applications

Characteristics

- Unable to control impulsive spendings on things she barely needs
- Underestimates expenses and overestimates her bank balance
- Intrigued by the idea of investing and passive earning but thinks she doesn't earn enough

Gunjan is stuck in the guilty spending loop



*"**Upi doesn't feel like reel money**" Cashless effect: People are more likely to overspend when no physical money transaction is involved*[2]

Scale of the Problem - *Gunjan is not Alone*

- Most people find budgeting tedious and time consuming and hence fail to maintain consistency. According to a survey **65%** people have no idea how much they spent last month[3] and 2 in 5 have never had a budget[4]
- Investment seems capital intensive and focus intensive. People believe they don't have the brain-space to be plugged into market fluctuations. The major challenge is to overcome the mental barrier to address personal finance issues
- Spending is addictive[1]. Impulse to shop is essentially hard to resist especially when various industries are trying to get people to spend more with targeted marketing and constant internet exposure

3 % of indian population invests in stock market

39 % of people age 18-24 in the India invest

81% of all digital transactions were UPI in 2023

82 % of students want to invest but don't -student survey

41 % of students feel they overspend -student survey

Pain Points	Possible Solutions	Complexity	User Satisfaction
Loosing track of expenses and unaware of current balance	Smart budget tracker		
Not saving enough for investments	Micro-investments alternatives		
Not having the brain space to manage finances	Easier and more intuitive personal finance manager		
Giving into bad financial habits	Dealing with cues to replacing bad habits		

Note: * Table colours Complexity/Satisfaction, Ease;

Sources: 1 Times Magazine '22; 2 the study - click here; 3 & 4 Surveys on spending habits - click here 3 4

Problems with Existing Products and Services

1. APPS FOR BUDGET TRACKING like Sprouts, Jupiter, Fi
   - **Problems:** mis-categorization, some of them have rigid onboarding (asking user to make private bank accounts that might lead complexity in taxation
2. INVESTMENT APPS like Zerodha
   - **Problems:** Don't tackle mental barrier that makes people ignore PF issues resulting in mostly finance geeks using the app rather than a broader user base. Despite the effort to simplify, they are loaded with too much information overwhelming for folks new to investing
3. MONEY SAVINGS APPS like Jar, Money manager
   - **Problems:** Heavily rely on personal discipline and consistency of the user

Common shortcomings of the existing products

- Need time and commitment
- Ineffective automations
- Need onboarding and learning new interface
- Do not address mental barriers and habit loops

Tackling the problem:

*Proposed solution is integration of **Budget tracking** and cue driven **Micro-investment** features in **Paytm***

Why Paytm?

- Paytm already has wallet feature to segregate funds and Paytm Money - making it perfect to introduce the feature that can build upon the existing infrastructure
- Existing users engage with Paytm on a daily basis. Large adoption of new features can be achieved by adding it to a user flow that people are already comfortable with.
- Paytm is integrated with large number of platforms making it easy to scale the solution, build on the consumer trust and place itself as one stop solution for all PF* issues
- Paytm has a large growing user base with 3rd largest market share after PhonePe and Gpay in terms of UPI transactions value. Introduction of features that enhance user-experience will help Paytm to expand it's user base

UPI accounts for around **52%** of India's total digital transactions [5]

Paytm shares a total market size of approximately **10.8%** of UPI transactions [6]

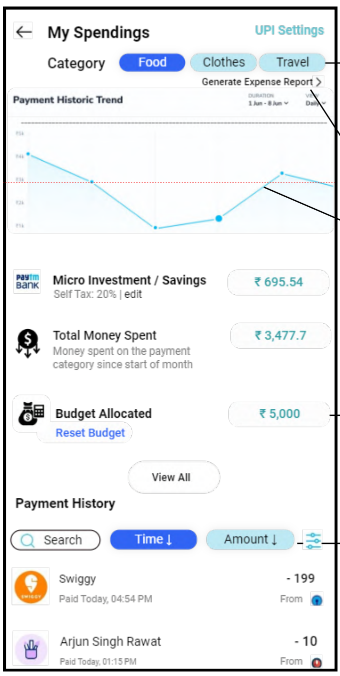
About **89%** of UPI users aged between 16 to 24 years prefer Paytm over any other app [7]

Solution

1. Expense Categorization & Analysis → 2. Introducing "Pots" & "Fun Tax"

Step 1 - Categorizing payments, setting budget limits, generating expenditure reports

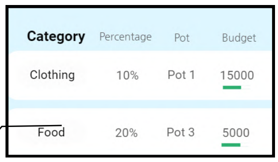
- Why Categorization and budgeting ?
  - Research suggests budgeting and categorizing expenses reduces likeliness of future expense in the category
  - Accurate categorization is necessary to introducing "Fun tax", meant to attach savings to spending habit cues [8]
- Why should a UPI app integrate budgeting and tracking?
  - According to a college survey, avg student reported opening UPI apps at least 3 times a day. Most budgeting apps are downloaded in a the short spurt of motivation and lie ideal and unused. With its large market penetration and user engagement, Paytm has to opportunity to dominate personal finance market



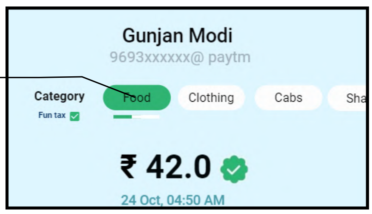
Category wise expense breakdown

Generate elaborate expense reports and insights

See trends in habits and get notified every time budget line is hit



Allocate Budget and always be conscious of your limits. Even while spending



Re-categorize right at the payment screen if auto categorize fails. Filter out expenses with better filters of time location etc

Issues with current Paytm analytics

- Works only for Paytm wallets
- Mis-categorization
- No concept of budget, only monthly expense view

Note: *PF- Personal Finance

Source: 5, 6, 7 - National Payment Corporation (NPCI.org) ; 8 - Study (Heath and Soll 1996; Soman 2001; Soman and Lam 2002)

Solution

1. Expense Categorization & Analysis → **2. Introducing "Pots" & "Fun Tax"**

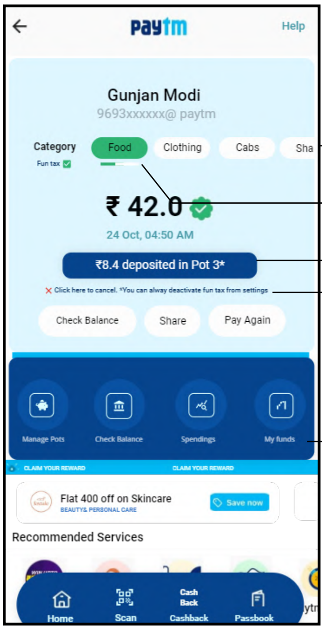
Step 2 - Deduction of "fun tax" everytime Gunjan makes a guilty purchase using Paytm UPI

- What is fun tax?
  - Small percentage cut made on the final price of a purchase user defines as "guilty". For eg.

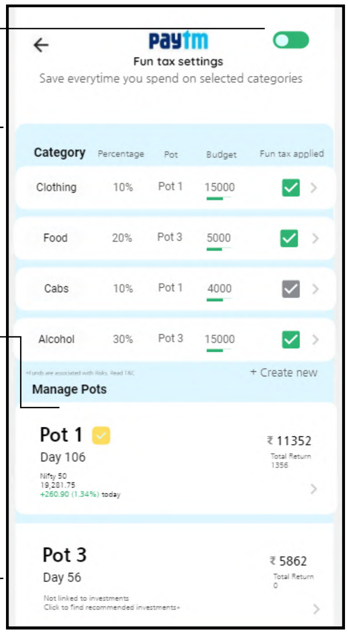
Gunjan is tired of junk food habit	identified food as **guilty** category	Buys burger worth Rs 40	Makes payment of Rs 400	+Rs 40 deducted as fun-tax	Gets stored in the pot	Pot hits Rs 500, money invested

- What are Pots?
  - They are digital piggy banks to store small sums of money till they hit a certain defined cap

Setting Up	Activates fun tax > Makes Pots > Selects guilty category > Sets % fun tax > Ready to go
Payment flow	Payment > Double checks category > Additional fun tax deducted > Amount added to the selected pot
Post Payment	Create/edit categories > Build different pots for different investments and goals > Check earnings



- Change auto categorization to achieve accuracy
- Toggle to deactivate fun tax
- Set the budget, percentage cut for each category. Make a category "non-guilty" whenever you want
- Visualize the used budget allotted to category
- 20% (adjustable) moved automatically to pot
- Option to cancel the current fun tax deduction
- Manage the pots, set where it is investing, see live market trends, and money earned by the microinvestments
- Options to manage pots, check balance, spending and Micro-investments just after spending
- Option to create different pots for separate goals and investments



Feature Launch!	Introducing pots!	Self-Tax Scheme	Money-manager	
• Categorize expense during payments to • Analysis of past transactions against several filters	• Putting money aside for specific goals • Allowing auto-savings on monthly basis	• Introducing "Fun-Tax" on user selected expense categories • Options to personalize and set rules for this self tax	• Linking fun-tax to Paytm money with auto investment option • Notifications and AI generated advice on finance management	**Product launch Steps**
• # Payments categorized by users • # Click on expense analysis reports	• # Pots created by users • Amount of money saved into pots per user • Increase in Monthly Active Users (MAU)	• # Users opting for self-tax rules • Amount of money per user deposited by users via fun tax	• # Investment linked pots & money value • Money saved monthly & profits earned through investments per user	**Metrics & KPIs**

Breaking the loop

Cue to impulsively buying a dress → Opens Paytm to pay. Can clearly see clothing budget set → *Reduced chances to proceed* → Makes Payment, Selects category and Pays the fun-tax → *Sees the reduced budget and warning* → Logged in the expenses. Sees analytics → *Reduced chances to repeat* → Opens pots and finds savings → *Improved chances of serious investments* → Feels motivated to navigate paytm money

Fallbacks and Walkarounds

1. Making two consecutive payment requires user to enter UPI pin twice
   - **Solution:** App will ask the user to agree to a clause to transferring upto 1L rupee while onboarding to the feature, allowing Paytm to transfer funds. This clause can be revoked by users and they can track the transfer
2. Risk associated with investment can be ignored by consumers not willing to pay much attention
   - **Solution:** Low risk options like bonds will be present. Risk factor associated with the options of investments will be mentioned clearly under each pot supporting the purpose to help user build better financial habits and feel in control of their money